LEGAL DUE DILIGENCE REPORT

Project Beacon — Proposed acquisition of Solstice Wellbeing Holdings Limited

Prepared by Whitfield Carter LLP for Kingsford Group Limited · 20 March 2026 · Ref SW/JO/KGL.0007

This report is provided to Kingsford Group Limited solely in connection with the proposed acquisition and is subject to the assumptions and limitations in Appendix A. It is based on documents made available in the Ansarada data room up to 18 March 2026 and replies to enquiries received up to that date.

1. EXECUTIVE SUMMARY

The Target group comprises Solstice Wellbeing Holdings Limited and its two wholly-owned subsidiaries, Solstice Studios Limited (studio operations) and Lumen Digital Limited (digital platform). The group operates eleven boutique studios in southern England and an on-demand subscription platform. Our review identified no issues that would prevent the transaction proceeding, but a number of matters which we recommend are addressed by specific indemnity, warranty, disclosure or pre-completion action, summarised in section 8 and flagged [RED] / [AMBER] below.

2. CORPORATE

Title to the shares is clean. The issued share capital is 1,000,000 ordinary shares of £0.01 held 35/20/30/15 by Geoffrey Solstice, Amelia Solstice, Daniel Forsythe and Pemberley Growth LP. Statutory books are written up to date. [AMBER] Two historic share allotments (2018, 2020) were filed late at Companies House; we recommend a warranty confirming validity and a bring-down of the registers at completion.

3. ACCOUNTS AND FINANCIAL

The FY2025 audited accounts (auditor: Hartley Webb LLP) were unqualified. Net assets at 31 December 2025 were £3.42m; FY2025 revenue £8.9m, adjusted EBITDA £2.31m. Net debt at the Accounts Date was £1.06m (term loan and overdraft with Sterling Commercial Bank plc), expected to be c.£1.2m at completion. The completion-accounts mechanism in clause 4 of the SPA addresses net-debt and working-capital movements.

4. PROPERTY

All eleven studios are leasehold. [AMBER] The Brighton flagship (Lansdowne Mews) lease contains a landlord break at June 2027; the Guildford studio has an outstanding rent review which could increase passing rent by an estimated £18,000 p.a. [RED] The Reading and Croydon leases are supported by personal guarantees from Geoffrey Solstice; these must be released or replaced at completion, and completion is conditional on landlord consent to change of control for three leases (consents received for two; Croydon outstanding as at the date of this report).

5. EMPLOYMENT

The group employs 142 staff (84 FTE) plus c.60 freelance instructors. [RED] HMRC opened an employment-status compliance check in October 2025 in respect of freelance instructors engaged in FY2024; potential exposure for PAYE/NIC and IR35 is estimated at £40,000–£110,000. We recommend a specific tax indemnity in the tax deed. A former instructor settlement (£12,500) was concluded in November 2025 with no continuing liability.

6. INTELLECTUAL PROPERTY AND IT

The "Solstice" and "Lumen Studios" UK trade marks are registered to Solstice Studios Limited. [AMBER] A class 41 opposition to the "Lumen Studios" mark was resolved by a co-existence agreement (January 2026) which restricts use in two northern postcodes — confirm this is acceptable to the integration plan. The Lumen platform source code is owned by Lumen Digital Limited; it incorporates three open-source components under permissive (MIT/Apache 2.0) licences, with no copyleft exposure identified.

7. CONTRACTS, REGULATORY AND DISPUTES

Material supplier and membership terms are in order and assignable or terminable on change of control. The group holds the licences required for its operations (including music licensing via PPL/PRS). [AMBER] One member has intimated a personal-injury claim arising from a 2025 studio incident; insurers are on risk with a reserve of £25,000. No litigation is pending or threatened against any group company.

8. KEY RISKS AND RECOMMENDED ACTIONS

We recommend: (a) [RED] a specific tax indemnity for the HMRC employment-status check; (b) [RED] release of the personal guarantees and receipt of the outstanding Croydon landlord consent as conditions to completion; (c) [AMBER] a warranty as to the validity of the historic share allotments; (d) [AMBER] disclosure of the trade-mark co-existence agreement and the intimated member claim; and (e) retention of £1,000,000 in escrow for 18 months alongside the buy-side W&I; policy to cover residual warranty risk.

APPENDIX — RISK SUMMARY

Ref	Area	Rating	Mitigation
4	Personal guarantees / consents	RED	Condition to completion
5	HMRC employment-status check	RED	Specific tax indemnity
2	Late share-allotment filings	AMBER	Warranty + register bring-down
4	Brighton break / Guildford review	AMBER	Priced into model
6	Lumen trade-mark co-existence	AMBER	Disclosure; check integration
7	Intimated member PI claim	AMBER	Insured; disclosure